Table M1: Client Selection, Audit Warnings, and Big 4 Client Risk

Panel A: Audit Warnings and Client Transitions

	Exit Big 4, $t+1$		Enter Big 4, $t+1$	
	(1)	(2)	(3)	(4)
Current clients	Big 4	Big 4	Non-Big-4	Non-Big-4
MAO	0.352***		-0.003**	
	(0.073)		(0.001)	
GC		0.204*		0.000
		(0.113)		(0.002)
Observations	3,504	3,504	59,865	59,865
Firms	489	489	5,119	5,119
Controls	Yes	Yes	Yes	Yes
Missing-value indicators	Yes	Yes	Yes	Yes
Firm FE	Yes	Yes	Yes	Yes
Industry × Year FE	Yes	Yes	Yes	Yes
SE clustering	Firm	Firm	Firm	Firm

Significance: * $p < 0.10$, ** $p < 0.05$, *** $p < 0.01$.